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TECH

Palo Alto Networks Loss Widens on Climbing Expenses

Network-security firm provides downbeat outlook for current quarter

By Ezequiel Minaya

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Palo Alto Networks Inc.'s headquarters in Santa Clara, Calif. KRIS TRIPPLAAR/SIPA USA

Palo Alto Networks Inc. reported a wider loss on rising expenses and provided a downbeat outlook for the current quarter.

Shares of network-security company fell 7.3%, to \$137.30. The stock had dropped 9.6% over the past year ahead of the results.

The Santa Clara, Calif., company said that for the current quarter, it expects total revenue between \$386 million and \$390 million, with adjusted per-share earnings between 48 cents and 50 cents. Analysts expected earnings of 50 cents a share on

\$389 million in revenue.

Palo Alto Networks benefits from a diversified business model, mixing sales of next-generation firewall products with recurring revenue from software billings. The company's products can work with existing security technologies without forcing companies to completely replace older solutions.

For the period ended April 30, Palo Alto Networks reported a loss of \$70.2 million, or 80 cents a share, compared with a year-earlier loss of \$45.9 million, or 56 cents a share. Excluding certain items, adjusted per-share earnings rose to 42 cents from 23 cents.

Revenue climbed 48%, to \$345.8 million, but total operating expenses rose 50%, to \$309.5 million.

For the latest quarter, Palo Alto Networks had forecast per-share earnings of 41 cents to 42 cents and revenue of \$335 million to \$339 million. Analysts polled by Thomson Reuters expected per-share profit of 42 cents and revenue of \$340 million.

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